Harbourline Property Valuers Pty Ltd
Property valuation and advisory

Independent Valuation Report
Caboolture West Subdivision

Market value of 41.6 hectare residential land subdivision site for first mortgage security purposes

Prepared for Quillwood Credit Partners

Valuation date 24 November 2022

Version 1.0, final for credit use

Reference: HPV-VAL-2022-1187

Date: 24 November 2022

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Borrower	Caboolture West Estates Pty Ltd
ABN	94 543 474 256
Registered address	Level 2, 46 Hasking Street, Caboolture QLD 4510
Sponsor	Tidewater Communities Group (Tidewater Communities Pty Ltd as head entity)
Property	41.6 hectare englobo site, Caboolture West, Moreton Bay region, QLD
Proposed use	318 lot residential subdivision in five stages
Valuation date	24 November 2022
Prepared for	Quillwood Credit Partners
Prepared by	Harbourline Property Valuers Pty Ltd
Purpose	First registered mortgage security for a proposed A$58.0M land and civils facility

Valuation particulars

1. Executive summary

Harbourline Property Valuers Pty Ltd has been instructed by Quillwood Credit Partners to assess the market value of the freehold land held by Caboolture West Estates Pty Ltd (the Borrower) at Caboolture West, Queensland. The Borrower is a single purpose entity established by the Tidewater Communities Group to acquire, develop and sell a 318 lot residential land subdivision. The valuation is required for mortgage security purposes in connection with a proposed senior secured land and civils development facility with a limit of A$58.0M.

We have valued the property on two bases: the market value of the site in its current condition (as is), and the gross realisation value (GRV) of the 318 lots on the assumption that the development is completed in accordance with the approvals and the sponsor's budget. Our conclusions are summarised below.

Basis	Value (A$M)	Comment
Market value, as is	31.5	Englobo land with development approval
Market value, as is, 180 day sale	26.8	About 85% of as is value
Gross realisation value, as if complete	108.8	318 lots at an average of A$342,000 ex GST
Indicative total development cost	86.0	Sponsor budget, not yet reviewed by QS
Implied gross margin over cost	22.8	26.5% on cost, 21.0% on GRV

Summary of valuation conclusions

The proposed facility limit of A$58.0M represents 53.3% of the GRV and 67.4% of the indicative total development cost of A$86.0M, with the balance of A$28.0M to be provided by sponsor equity. The facility limit is 184% of the as is value, which is expected because the facility funds civil works that create the value. Cover should therefore be tested on the as if complete basis and by stage, not on the as is value alone.

Our conclusions depend on the assumptions and qualifications in Section 10. In particular, the development cost budget has been provided by the sponsor and has not yet been reviewed by the independent quantity surveyor, Corbett Lowe Quantity Surveyors Pty Ltd, whose report is not available at the date of this valuation.

2. Instructions and basis of valuation

2.1 Scope

We were instructed by Quillwood Credit Partners to provide an independent valuation of the property for first mortgage lending purposes. We inspected the site on 4 November 2022 and reviewed the Information Memorandum dated 17 October 2022, the development approval, the proposed lot layout and staging plans, the sponsor's development budget and programme, and title and planning searches supplied through Nettleton Hayes Lawyers. We also made our own enquiries into recent lot sales and englobo transactions in the Moreton Bay and northern Brisbane corridor.

2.2 Basis of value

Market value is adopted as defined by the Australian Property Institute and International Valuation Standards: the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. All values are expressed exclusive of GST. We have assumed that the margin scheme is available for sales of the finished lots, consistent with the sponsor's advice.

2.3 Information relied on

We have relied on the sponsor's description of the acquisition, which settled on 24 February 2022 on arm's length terms funded by sponsor equity and vendor terms. We have not sighted a quantity surveyor's assessment, geotechnical report supplementary to the sponsor's material, or executed sales contracts. Title particulars were supplied by Nettleton Hayes Lawyers and should be confirmed by the lender's solicitors before drawdown.

3. The property

3.1 Location and site

The site is located in Caboolture West, within the Moreton Bay Regional Council area, about 45 kilometres north of the Brisbane CBD. Caboolture West is identified in South East Queensland regional planning as a major greenfield growth area, with long term capacity for substantial residential development supported by planned trunk road, water and sewer infrastructure. The Borrower's registered office is in the Caboolture town centre, a short distance from the site.

The site has a total area of about 41.6 hectares held in freehold. At the inspection date the land was cleared grazing country with gentle to moderate fall, no buildings of value and no obvious signs of contamination. Parts of the lower ground are subject to drainage lines that will be addressed through the stormwater design. We are not environmental or geotechnical specialists and have assumed there are no latent conditions that would materially affect development cost.

3.2 Planning and approvals

Development approval for reconfiguring a lot was granted on 12 September 2022, permitting 318 residential lots in five stages. Lot sizes range from about 330 to 600 square metres with an average of about 450 square metres. We have assumed that conditions of approval are capable of being satisfied within the sponsor's budget and programme, and that operational works approvals, plan sealing and title registration will follow in the ordinary course, including council and utility sign-off for sewer and trunk water connections.

3.3 Development proposal

The Borrower proposes to carry out bulk earthworks, roads, stormwater, sewer, water and electrical civil works through a head contractor, Brightwater Civil Pty Ltd, and to sell finished titled lots to owner-occupiers and small builders under contracts with deposits held in trust. Delivery is planned over roughly 30 months from commencement of works.

Stage	Lots	Indicative months from start
Stage 1	68	1 to 9
Stage 2	74	6 to 15
Stage 3	62	12 to 21
Stage 4	58	18 to 26
Stage 5	56	22 to 30
Total	**318**	**30**

Proposed staging and lot yield (programme as advised by the sponsor)

Stages 1 and 2 comprise 142 lots, or 44.7% of the yield. These stages carry the initial earthworks and trunk services and are therefore the most capital intensive. Stages 3 to 5 comprise 176 lots.

4. Market overview

The South East Queensland residential land market recorded strong price growth through 2021 and early 2022, driven by low interest rates, migration from southern states and limited supply of titled lots. Since mid 2022 conditions have shifted. The Reserve Bank has increased the cash rate target to 2.85% following its November 2022 meeting, borrowing capacity has fallen, and buyer enquiry and contract volumes have softened from the peak, particularly at higher price points. Construction cost pressure and builder capacity constraints have also lengthened the time between land purchase and home start.

Outer northern corridor estates around Caboolture, Morayfield, Burpengary and Narangba continue to offer lots at price points below those of closer Brisbane suburbs, which supports demand from first home buyers and investors. We expect lot price growth to moderate and some price reductions or incentives to emerge in estates that are poorly located or priced. Our GRV assumes prices broadly flat to the date of sale and does not rely on further growth.

4.1 Comparable lot sales

The following recent contracts for lots in competing estates have been analysed. Prices are exclusive of GST and the rate per square metre declines as lot size increases, which is consistent with the pattern in our pricing for the subject.

Estate and suburb	Lot (sqm)	Price (A$000)	Contract date
Kingfisher Parc, Morayfield	375	318	Aug 2022
Wattlebird Rise, Burpengary East	420	335	Sep 2022
Redgum Crossing, Caboolture	450	345	Oct 2022
Ironbark Gardens, Narangba	512	395	Oct 2022
Lakeview Terrace, Upper Caboolture	600	410	Jul 2022

Comparable lot sales, northern Moreton Bay corridor

The comparables indicate a range of about A$683 to A$848 per square metre. The subject's adopted average of about A$760 per square metre (A$342,000 for a 450 square metre lot) sits within that range. Caboolture West is a newer and less established location than Morayfield or Narangba, and this is reflected in our pricing at the middle rather than the top of the range.

5. Valuation analysis

5.1 Gross realisation value

We have estimated lot values by size band, having regard to the comparables, the sponsor's proposed price list and the likely mix of owner-occupier and small builder purchasers. The average lot price is A$342,000 and the resulting GRV is A$108.8M.

Lot size band (sqm)	Lots	Average price (A$000)	Value (A$M)
330 to 399	72	305	22.0
400 to 449	98	330	32.3
450 to 499	86	352	30.3
500 to 600	62	390	24.2
Total	**318**	**342**	**108.8**

Gross realisation value by lot size band (ex GST)

5.2 Market value as is: direct comparison

Englobo transactions in the northern corridor over the past 18 months have been analysed on a rate per lot yield and rate per hectare basis, adjusted for approval status, servicing, location and timing. Sales of approved land with trunk infrastructure still to be delivered indicate A$85,000 to A$110,000 per lot of yield. Applied to 318 lots this suggests A$27.0M to A$35.0M. We place the subject towards the middle of that range given that development approval is in place but the site requires full bulk earthworks and external service connections. The adopted figure of A$31.5M equates to about A$99,000 per lot and about A$757,000 per gross hectare.

5.3 Market value as is: residual check

As a cross-check we have prepared a simplified residual analysis using the sponsor's budget for all costs other than land, which includes civil works, contingency, professional fees, statutory and infrastructure charges, selling costs and finance. The analysis is sensitive to the cost and timing inputs and is not discounted beyond the finance allowance in the budget.

Item	A$M
Gross realisation value	108.8
Less development costs excluding land (sponsor budget)	54.5
Less developer's margin at 20% of GRV	21.8
Residual land value	32.5
Adopted market value, as is	31.5

Residual land value cross-check

The residual of A$32.5M supports the adopted A$31.5M. Land at A$31.5M represents 29.0% of GRV, which is within the range we would expect for outer growth corridor englobo land at this stage of the cycle. The resulting developer's margin is A$22.8M, or 21.0% of GRV and 26.5% on total development cost of A$86.0M.

5.4 Realisation value

A 180 day sale of the englobo site by a mortgagee, with limited marketing and in the current softer market, would in our opinion achieve about 85% of market value, or A$26.8M. The pool of buyers for sites of this scale is limited to established developers and funds, and finance availability for such buyers has tightened.

6. Security and lending considerations

6.1 Proposed facility

We understand that the proposed facility is a senior secured land and civils development facility with a limit of A$58.0M and a tenor of 30 months. It would be secured by a first registered mortgage over the project land, a general security agreement over the Borrower, and sponsor completion and cost overrun undertakings from the Tidewater Communities Group. Proceeds would fund the balance of the land acquisition cost and the bulk earthworks and civil infrastructure for Stages 1 to 5, with repayment from lot settlement proceeds subject to agreed release prices. Sponsor equity of A$28.0M is expected to meet the remaining A$28.0M of the A$86.0M development cost, equal to 32.6% of the total.

Metric	Value
Facility limit	A$58.0M
Loan to GRV	53.3%
Loan to total development cost	67.4%
Sponsor equity to total development cost	32.6%
Facility limit to as is value	184%
Allocated debt per lot (limit divided by 318)	A$182,400

Security metrics on the proposed facility

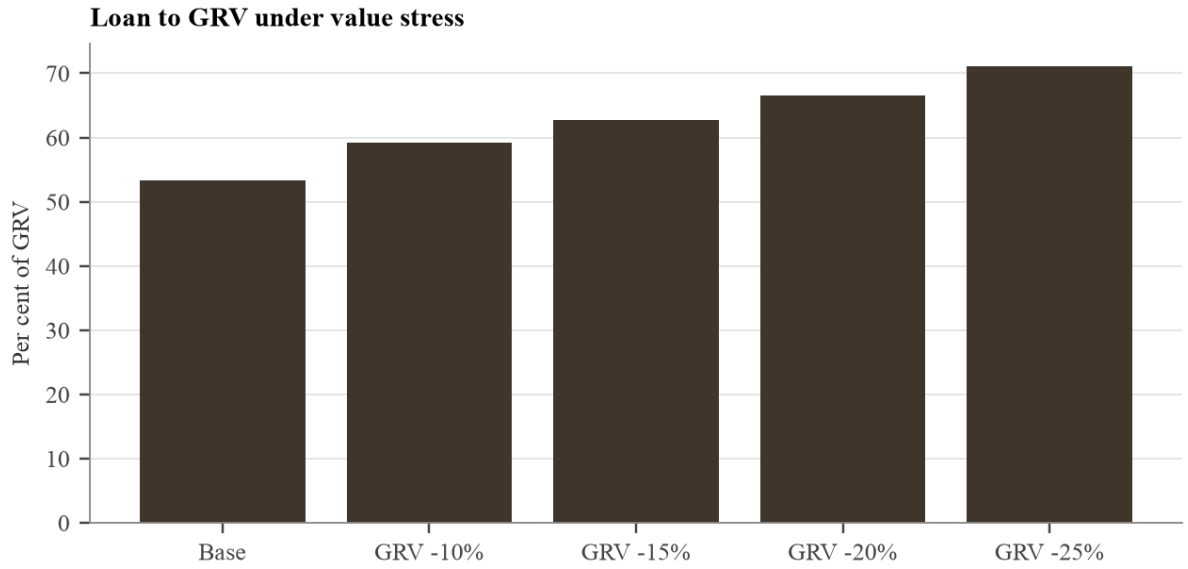
The lowest priced band in our GRV is A$305,000 per lot, which is 67% above the allocated debt per lot. This provides reasonable room to set release prices at a meaningful premium to allocated debt, and we suggest the lender consider release pricing by stage rather than a single flat percentage, given that Stages 1 and 2 carry a disproportionate share of infrastructure cost.

6.2 GRV sensitivity

The table and chart below show the effect of a fall in lot values on cover, holding total development cost at A$86.0M and the debt at the full A$58.0M limit. Selling cost savings on lower prices are ignored, so the results are conservative as to margin. In practice, debt will fall progressively as lots settle, so the loan to GRV ratio on the unsold lots would improve through the programme if prices are maintained.

GRV scenario	GRV (A$M)	Loan to GRV (%)	Margin over cost (A$M)
Base case	108.8	53.3	22.8
Fall of 10%	97.9	59.2	11.9
Fall of 15%	92.5	62.7	6.5
Fall of 20%	87.0	66.6	1.0
Fall of 25%	81.6	71.1	(4.4)

Sensitivity of cover to a decline in lot values



Loan to GRV with A$58.0M fully drawn and total development cost held at A$86.0M

The facility limit would equal the stressed GRV only if lot values fell by about 46.7%. The developer's margin is eliminated at a fall of about 21%. Cover is therefore robust to a moderate price correction, but the sponsor's equity and the project's profit would absorb the first loss before the lender is affected, and a combined price and cost shock would erode that buffer quickly.

7. Key valuation risks

- Construction cost and programme: the civil works are exposed to wet weather delay and to escalation in earthworks and pipe materials. A cost overrun of 10% on the A$54.5M non-land budget would add about A$5.5M and reduce the margin accordingly. The QS review should test contingency adequacy.
- Market and pricing: lot values in the Moreton Bay corridor may soften if interest rates rise further or buyer demand weakens. Our GRV of A$108.8M assumes prices broadly flat to the date of sale. Longer sell-through would also add holding and finance cost.
- Settlement: purchasers may fail to settle or be unable to obtain finance as lending standards tighten. We recommend the lender assess the facility under a settlement default stress of 5% of contracted lots with resale at a discount.
- Pre-sales and sales concentration: we have not been provided with executed contracts. Later stages will rely on sales during construction, and absorption rates in a softening market are uncertain.
- Approvals and infrastructure: plan sealing and title registration depend on timely council and utility sign-off, including sewer and trunk water connections. Delay would defer settlements and the first repayments.
- Sponsor dependence: completion, cost overrun and liquidity support rely on the Tidewater Communities Group. The Information Memorandum reports FY22 group revenue of A$142.3M, EBITDA of A$24.9M and net debt of A$61.4M, equal to 2.5x EBITDA. We have not assessed the sponsor's covenant, which is a matter for the lender.

8. Valuation conclusions

Subject to the assumptions and qualifications in this report, we are of the opinion that, as at 24 November 2022, the market value of the freehold interest in the property, in its current condition and with the benefit of the development approval, is:

Market value, as is	A$31,500,000 (thirty-one million five hundred thousand dollars), exclusive of GST
180 day sale value, as is	A$26,800,000, exclusive of GST
Gross realisation value, as if complete	A$108,800,000, being the sum of 318 lots at an average of A$342,000, exclusive of GST

Valuation conclusions as at 24 November 2022

The GRV is not a market value of the property on completion. It is the undiscounted sum of the estimated lot prices and does not allow for selling costs, holding costs or the time taken to sell. It should not be used as the sole measure of security value.

9. Recommendations to the lender

- Obtain and review the Corbett Lowe Quantity Surveyors Pty Ltd report before credit approval, and confirm that the A$86.0M total development cost, contingency and programme are supported. If the QS assessment of cost differs materially, this valuation should be updated.
- Draw the facility progressively against certified works, with a requirement that the A$28.0M sponsor equity is contributed first or pro rata.
- Set release prices by stage and test them against the lot price schedule in Section 5.1, with a minimum release premium to allocated debt.
- Require an updated valuation at completion of Stage 2 and before drawing for Stages 4 and 5, or earlier if market conditions deteriorate materially.
- Require evidence of executed sales contracts, deposits held in trust and purchaser finance status as part of stage-by-stage reporting.
- Confirm title, easements, development approval conditions and infrastructure agreements through the lender's solicitors.

10. Assumptions and qualifications

- This valuation is for the sole use of Quillwood Credit Partners for first mortgage security purposes. No responsibility is accepted to any other party.
- The valuation is current at 24 November 2022. Property markets can change quickly, and we recommend it not be relied on after 90 days without written confirmation from us.
- We have assumed good title, free of onerous encumbrances, and that the development approval is valid and enforceable. We have not undertaken legal searches beyond those supplied.
- The development budget and programme were supplied by the sponsor and have not been independently verified. Costs, timing and finance allowances have been adopted for the residual cross-check only.
- We have not undertaken environmental, geotechnical, cultural heritage or flood modelling investigations and have assumed no unusual conditions affect the site.
- We have assumed the sponsor will complete the works to the standard required by the approvals, and that all consents are obtained in the ordinary course.
- Where the approved layout, yield or staging changes, the values in this report may change materially.

11. Valuer's certification

We certify that we have no pecuniary interest in the property or in the Borrower, that our fee is not contingent on the value reported, and that we have inspected the property. This report has been prepared in accordance with the Australian Property Institute practice standards.

Valuer	Stuart Penhall, Certified Practising Valuer (API), Director
Reviewed by	Harbourline Property Valuers Pty Ltd, Quality Review Panel
Firm	Harbourline Property Valuers Pty Ltd
Date	24 November 2022

Sign-off